



ESG in the Boardroom

Practical Insights for Board Members

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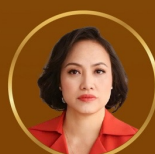
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WHY DOES IT MATTER?

“Around 9 out of 10 investors surveyed say that nonfinancial performance played a pivotal role in their investment decision-making over the previous 12 months.”

*Dr. Matthew Bell
EY Global Climate Change and Sustainability
Services Leader*

“No issue ranks higher than climate change on our clients’ lists of priorities,”

*Laurence D. Fink, the chief executive of
BlackRock*

WHY ESG MATTERS

- Stricter regulations such as the EU’s CSRD or the SEC’s climate disclosure requirements
- Stakeholders demand accountability on ESG issues.
- ESG aligned companies attract more investment as ESG funds and indices gain prominence, such as MSCI ESG indices and sustainability-linked bonds.

ESG



ROLE OF BOD

The board plays a critical role as stewards of sustainable governance, ensuring that ESG principles are integrated into the company’s strategy and operations.

What is ESG

ESG is a set of **Environmental**, **Social** and **Governance** standards for company operations. It serves as a guide for stakeholders to understand how an organization manages risks and opportunities across the three dimensions.

Vietnam ESG Readiness Report 2022 - PwC

Why ESG is Vital for Listed Companies

- Drives **financial performance**: ESG leaders outperform peers.
- Mitigates **risks**: Regulatory fines, reputational damage.
- Builds **trust**: Enhances stakeholder confidence.

E

ENVIRONMENT

The energy your company takes in and the waste it discharges or the natural resources needed to keep your business operational.

S

SOCIAL

The relationships and the reputation fostered through your business dealings across the communities where you do business.

G

GOVERNANCE

The oversight mechanism of controls, procedures and practices needed to govern and make effective decisions for the wider good of the company.



What's inside?

Climate

Carbon emissions

Physical asset resilience

Pollution

Air

Water

Soil

Other

Waste

Packing

Electronic

Hazardous

Wastewater

Other

Resource use

Water stress

Energy management

Biodiversity & land use

Other



What's inside?

Employee

Basic needs & wellness

Diversity & inclusion

Hiring & advancement

Worker experience

Customer

Product safety and quality

Selling practices

Privacy & data security

Business model

Operations resilience

Product design & lifecycle management

Supply chain management

Accessibility

Community investment



What's inside?

Business practices

Ethics

Competitive behavior

Transparency & Disclosure

Tax

Accounting & Internal Audit

Leadership

Board & management profile

Board/Exec remuneration

Purpose and values

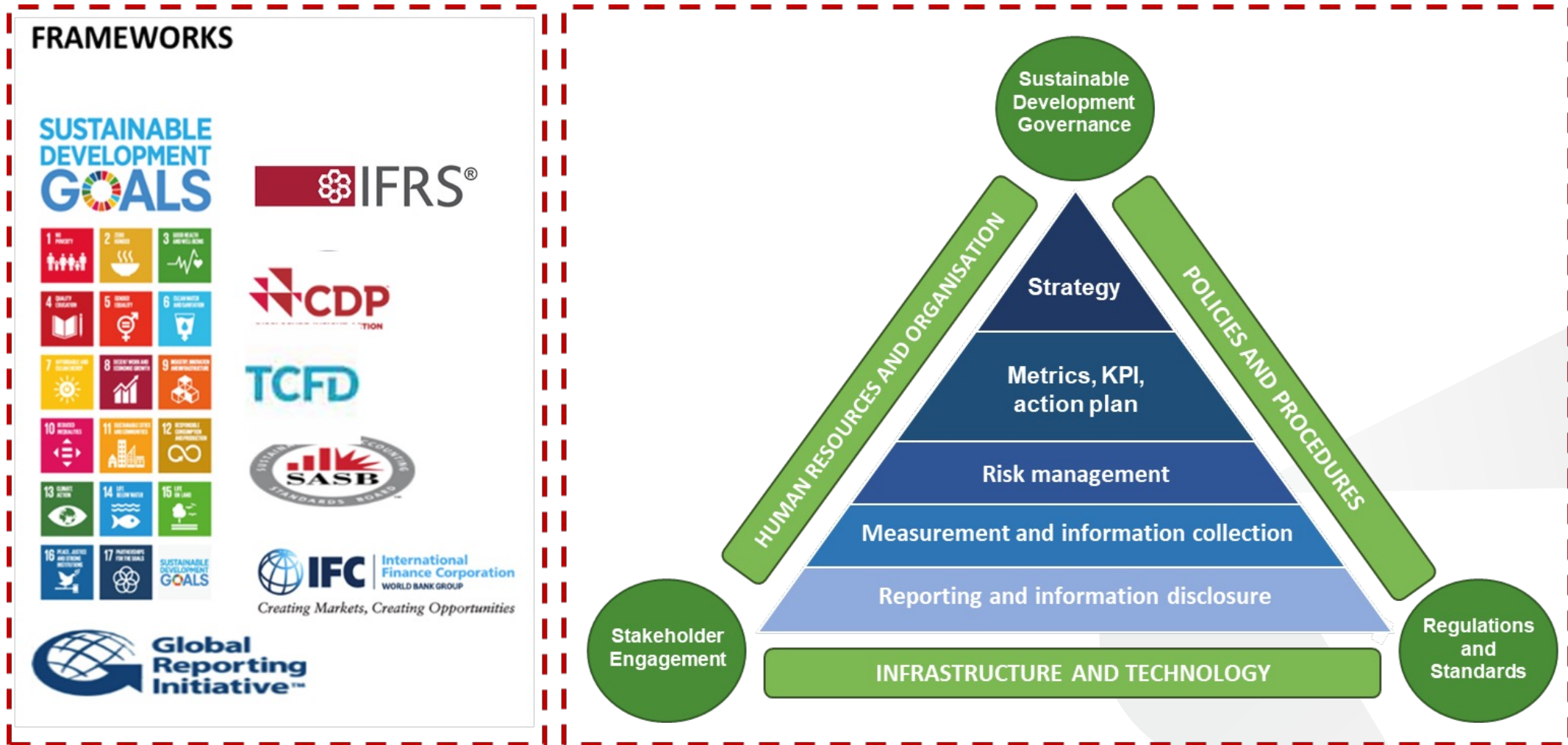
Risk and opportunity

Ownership & Succession

ESG terminology as per Global Reporting Initiative¹:

- ESG standards are a specific quality requirement for ESG reporting. ESG standard typically contains detailed criteria or metrics of 'what' should be reported on each ESG topic.
- ESG framework provides a broader, contextual "frame" for ESG information. It can be thought of as a set of principles providing guidance and shaping people's understanding about a certain ESG topic, but miss a defined reporting obligation. ESG framework may be used when a standard does not exist.

ESG Management Framework



Source: CGS Vietnam

The Role of Board Members in ESG

Define ESG Strategy:

Defining priorities, ensuring alignment with long-term goals, driving integration into core business strategies and opportunities management.

Ensure Transparency

Board should oversight sustainability disclosure including the accuracy and reliability of the information



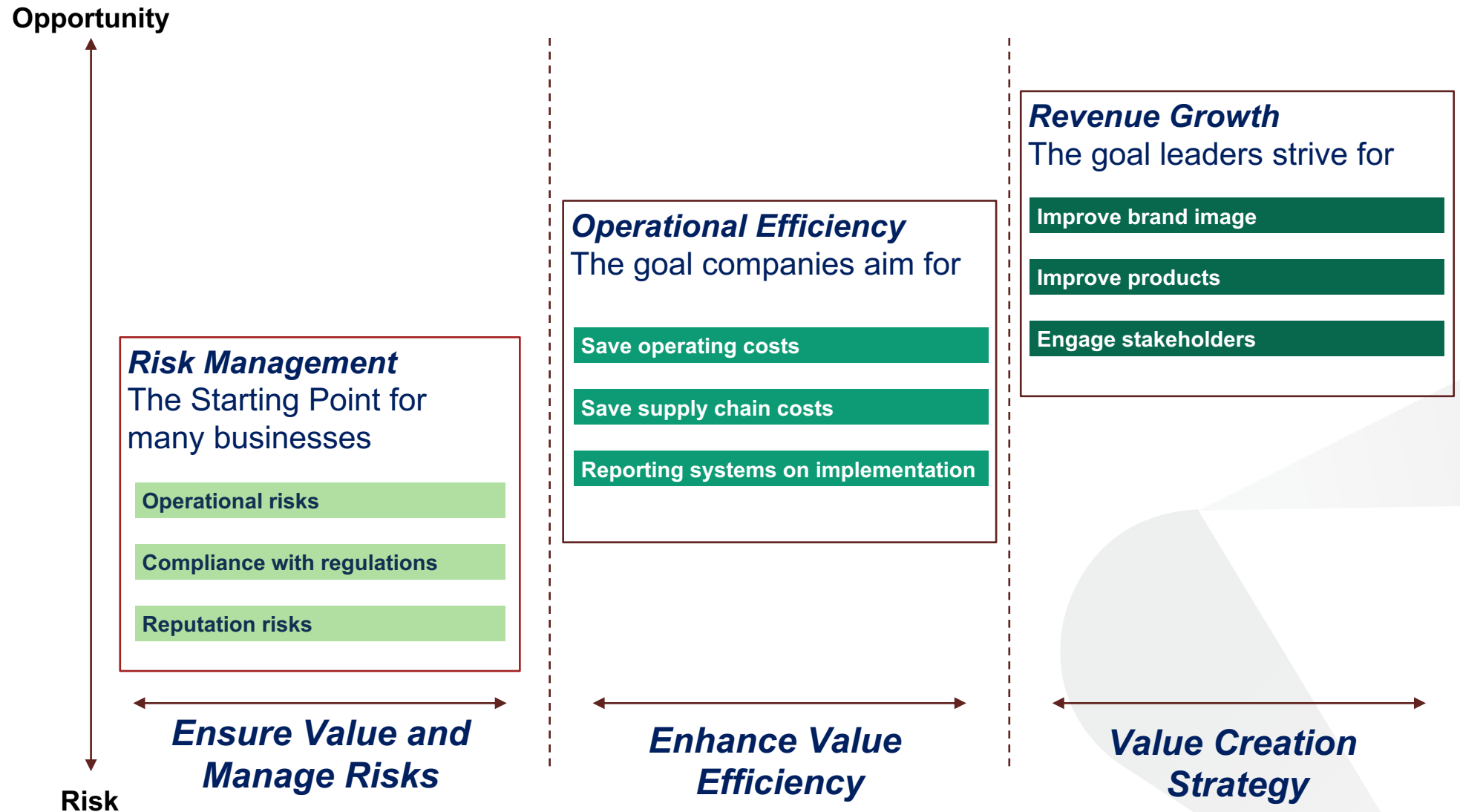
Establish Governance

Board members have to set up structures for effective ESG oversight.

Oversee Risks

Ensure ESG risks are identified, prioritized, and integrated into strategic decision-making, monitoring their impact, and safeguarding the organization's long-term resilience and stakeholder trust.

Understanding ESG Maturity Road Map



Sources: 1. Babson College and IO Sustainability, 2016. ; 2. Konar and Cohen, 2001.; 3. Prof. Edmans of the London School of Business, 2016.

Board Challenges

Lack of ESG Expertise and Knowledge

Climate change, Biodiversity, Social equity...



Measuring, Reporting, and Avoiding Greenwashing

- Various reporting standards
- Transparency, avoid greenwashing risks and maintain stakeholder trust.



Identifying and Prioritizing Material ESG Issues

- Which ESG issues are most material
 - Balancing diverse stakeholder expectations



Aligning ESG with Corporate Strategy

- Integrating ESG initiatives into the core business strategy
- Balance between short-term financial performance and long-term ESG investments



Accountability and Resource Allocation

- Ensuring senior management accountability for ESG outcomes.
- Allocating adequate resources to ESG initiatives without compromising financial priorities



How Boards Can Prepare for This Role

01



**Strengthen ESG
Knowledge,
Build ESG Mind-
set**

02



**Build a Proper
ESG
Governance
Framework**

03



**Embed ESG
into Corporate
Strategy**

04



**Set
Measurable
ESG Targets**

05



**Enhance ESG
Reporting and
Avoid
Greenwashing**

Strengthen ESG Knowledge, Build ESG Mindset

What can you do?

- Recruit directors with ESG expertise, particularly in areas like climate science, social equity, or governance.
- Provide targeted ESG training to existing board members to enhance understanding and decision-making capabilities.
- Establish a dedicated ESG or sustainability committee within the board to focus on ESG-related matters.

Case Study



In 2021, ExxonMobil's board underwent significant changes, notably influenced by activist hedge fund Engine No. 1. Following a proxy battle, the company appointed three new directors with strong ESG credentials to help the Company cope with climate change challenges.

Build a Proper ESG Governance Framework

What can you do?

- Define ESG Governance Structure including clear roles and responsibilities for ESG oversight within the Board and management.
- Establish foundational ESG policies to guide the organization's approach to environmental, social, and governance matters.
- Embed accountability for ESG performance across the organization. Link up executives' compensations with ESG performance.



Source: BCG-INSEAD
Board ESG Pulse Check
(March 2022).

Embed ESG into Corporate Strategy



What can you do?

- Align ESG Priorities with Business Objectives. Ensure that ESG goals are directly linked to the organization's core business strategy and long-term vision.
- Integrate ESG into Decision-Making Processes. Embed ESG considerations into all major decision-making processes, including investments, product development, and market expansion.
- Ensure the company transparently communicates its ESG strategy and progress to stakeholders.



Inspire and enable more than 1 billion people to live a better everyday life within the limits of the planet

Creating a movement in society around better everyday living

Inspiring and enabling people to live healthier, more sustainable lives

Promoting circular and sustainable consumption



Become climate positive and regenerate resources while growing the IKEA business

Transforming into a circular business

Becoming climate positive

Regenerating resources, protecting ecosystems and improving biodiversity



Create a positive social impact for everyone across the IKEA value chain

Providing and supporting decent and meaningful work across the IKEA value chain

Being an inclusive business

Promoting equality

ADVOCACY, CO-CREATION & PARTNERSHIP, ENTREPRENEURSHIP & INNOVATION, INCLUSIVENESS

Use only renewable and recycle materials by 2030

Set target to reduce carbon emission by 80% in 2030 from FY16

Ensure all IKEA co-workers and those in the supply chain receive a living wage or income by 2030

Set measurable ESG targets

bp



What can you do?

- Align ESG targets with the company's overall business objectives and long-term vision. Approve targets that are financially viable and support strategic priorities
- Base ESG targets on established global standards like the Global Reporting Initiative (GRI), Sustainability Accounting Standards Board (SASB), or Task Force on Climate-related Financial Disclosures (TCFD).
- Embed ESG targets into operational KPIs to track progress and drive accountability across the organization.
- Tie a portion of executive bonuses and incentives to achieving ESG targets

2019 annual bonus scorecard

These measures were set under the terms of our 2017 policy

KPI See key performance indicators on page 32.

Safety 0.31	+	Environment 0.14	+	Reliable operations 0.17	+	Financial performance 0.80	=	Formulaic score 1.43 ^a out of 2.0
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Measures		Weighting	Threshold (0)	Target (1)	Maximum (2)	Outcome
Safety (20% weight)	Process safety tier 1 and tier 2 events ^b	KPI 10%	80 events 0	72 events 0.1	56 events 0.2	70 events 0.11
	Recordable injury frequency	KPI 10%	0.198/200k hrs 0	0.188/200k hrs 0.1	0.168/200k hrs 0.2	0.159/200k hrs 0.20
	Outcome					0.31
Environment (10% weight)	Sustainable emissions reductions	KPI 10%	0.49 mte 0	1.0 mte 0.1	2.0 mte 0.2	1.4 mte 0.14
Reliable operations (20% weight)	BP-operated refining availability ^c	KPI 10%	94.5% 0	95.0% 0.1	95.5% 0.2	94.9% 0.08
	BP-operated upstream plant reliability	KPI 10%	92.6% 0	94.6% 0.1	96.6% 0.2	94.4% 0.09
	Outcome					0.17
Financial performance (50% weight)	Operating cash flow (excluding Gulf of Mexico oil spill payments)	KPI 20%	\$24.0 bn 0	\$26.5 bn 0.2	\$29.0 bn 0.4	\$28.2 bn 0.33
	Underlying replacement cost profit	KPI 20%	\$8.1 bn 0	\$8.9 bn 0.2	\$9.7 bn 0.4	\$10.0 bn 0.40
	Upstream unit production costs	KPI 10%	\$7.12/bbl 0	\$6.72/bbl 0.1	\$6.32/bbl 0.2	\$6.84/bbl 0.07
Outcome					0.80	
Formulaic score						1.43* out of 2.0

Formulaic scorecard outcome 1.43 out of 2	Input audit committee and SESAC No adjustment	Remuneration committee judgement Minus 0.08	Final scorecard outcome 1.35 out of 2	67.5% of maximum
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^a Due to rounding, the total does not equal the sum of the parts.

^b Measure excludes data from Mexico retail and BHP onshore operations for two years from the date of their acquisition by BP.

^c Solomon Associates' operational availability.

Enhance ESG Reporting and Avoid Greenwashing

What can you do?

- Establish clear ESG reporting standards and understand local requirements to ensure consistency, transparency, and comparability of ESG data across industries and geographies.
- Oversee Accurate and Transparent Data Collection. Approve the implementation of robust data collection and verification systems
- Approve a materiality assessment to determine ESG issues most relevant to the company and its stakeholders.
- Establish oversight mechanisms to ensure ESG claims are accurate and verifiable. Consider independent assurances

Top 2 sustainability report in Vietnam Listed Company Awards (VLCA) 2024



***“As board members,
your leadership in
ESG can position
your company for
resilience and
long-term success.”***

Practical Takeaways for Board Members

1. ESG is a strategic imperative, not a compliance task.
2. The board must lead ESG integration at the highest level.
3. Focus on measurable outcomes and transparent reporting.
4. Stay proactive with training and stakeholder engagement.
5. Build a culture where sustainability drives innovation and growth.

Thank you

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